

Your Dealership Startup Checklist

Here is the step-by-step path to getting your keys — from business setup to DMV approval and dealer plates.

1

Phase 1

Business Setup

Phase 1: Business Setup

01

Find a Spot

Real office with room to display at least one car.

02

Check Zoning

Confirm with the city that car sales are permitted at your address.

03

Register the Name

Form your LLC or Corp with the Nevada Secretary of State — **\$425**.

04

Get a Tax ID

Obtain your Federal EIN from the IRS — **free**.

\$425

State Registration

Nevada Secretary of State LLC or Corp filing fee.

2

Phase 2

Local Permission

Phase 2: Local Permission (Clark County)

01

Background Check

Every owner submits history to Metro for a deep check — **\$300**.

02

Financial History

Provide 3 months of bank statements and 3 years of tax returns.

03

Local License

Apply for your county business license — **\$70 to start**.

\$300

Background Check

Metro deep background check per owner.

3

Phase 3

DMV Final Step

Phase 3: DMV Final Step

01

Bond & Insurance

Buy your **\$100,000 surety bond** and liability insurance once location is approved.

02

Hang Your Sign

Permanent sign with business name in letters at least **8 inches tall**.

03

DMV Inspection

A DMV officer visits to verify your office, sign, and display area.

04

Final License Fee

Pay the **\$125 DMV application fee** and receive your dealer plates.

\$125

DMV Fee

Final application fee to receive your dealer license.

Background Check: What They're Looking For

When you submit your background packet to the **Las Vegas Metropolitan Police Department (Metro)** and the **DMV**, they are looking for specific "red flags" that suggest a person might not be trustworthy enough to run a regulated business like a dealership.

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The #1 reason for denial is **lying or leaving things out**. Even an old arrest you thought "fell off" your record must be disclosed. Omitting information is grounds for immediate denial.

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Serious Criminal History

Felonies and gross misdemeanors — especially crimes involving **fraud, theft, or deceptive trade practices** — are major red flags given the large sums of money and titles involved in dealership operations.

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Past License Trouble

Any business or driver's license previously **suspended, revoked, or denied** in any state must be explained. A history of administrative sanctions is a significant red flag.

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Regulated Industry Problems

Being **barred or "trespassed" from a casino** or having trouble with a gaming license is a red flag in Nevada — it speaks to your character in other highly regulated industries.

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Unpaid Child Support

Nevada law is strict. If you are behind on child support without an approved payment plan with the District Attorney, your application will be **denied**.

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Financial Instability

Reviewers check for **bankruptcies, tax liens, or unpaid government debts**. As a principal owner, financial instability raises concerns about potential fraud or mismanagement of customer funds.

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Military Issues

A **dishonorable discharge** or history of court-martial must be disclosed and can lead to denial of your application.

Understanding Dealer Plates

In Nevada, **dealer plates** are special license plates that allow you to move your inventory on public roads without registering each individual car. They are issued based on the type of vehicles you sell, as specified on your application.

Standard Dealer Plates

The most common plate type, issued based on your declared business activity. When you complete your application, you specify what you sell — and that determines your plate type.

- Used Motor Vehicle Plates:** For standard used car lots selling passenger vehicles.

How Dealer Plates Work

- Move inventory on public roads legally without individual registration.
- Plate type is tied to your declared business activity on the DMV application.
- Issued after your license fee is paid and application is approved.
- Must only be used for legitimate inventory movement — not personal use.

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Your plate type is determined at application time. Make sure your declared business activity accurately reflects the vehicles you plan to sell.

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